Diamante Ltd — Pre-release Research Study Guide

Colour-coded one-page-per-topic summaries of all 18 research documents · APC 2026 · refresh every key concept without re-reading the source

Contents — colour key

Financial Reporting — IFRS technical

Debt Refinancing Trigger

IFRS 9 modification · IAS 1/IAS 10 classification · SA tax of the shareholder loan

The accounting, going-concern, ranking and tax consequences of restructuring Diamante's bank and shareholder loans (extension to 2030, rights issue, revised shareholder terms).

KEY CONCEPTS & RULES

- Shareholder loans are IAS 32 financial liabilities, recognised under IFRS 9, measured at amortised cost using the effective-interest method.
- IFRS 9 10% test on restructuring: compare PV of remaining original cash flows with PV of revised cash flows (incl. fees), both at the original EIR. ≥10% difference = substantial → derecognise old, recognise new at a new EIR, gain/loss to P&L now; <10% = modification, adjust carrying amount with the difference to P&L.
- IAS 1.69/72A/75A: a liability is current unless there is a substantive enforceable right at reporting date to defer ≥12 months; management's expectation of refinancing is irrelevant. The 2030 extension was conditional on the rights issue and shareholder terms (approved only at a special meeting early FY2027), so at 30 June 2026 the loans stay current (R2,214m non-current → nil; R2,925m now current).
- IAS 10: post-year-end refinancing approval is a non-adjusting event for classification but highly relevant to going concern (IAS 10.14) — disclose the material uncertainty and key judgements.
- Ranking of alternatives: Rank 1 extend + amortise (very high GC benefit, low-medium tax risk); Rank 2 extend only; Rank 3 extend + rate cut to the official rate; Rank 4 convertible pref shares (high tax risk, IAS 32 fixed-for-fixed); waiver/extinguishment rejected (shareholders refuse a write-off).
- Official interest rate = repo (7%) + 100bps = 8%; s24J recognises interest on a yield-to-maturity basis.
- s8F hybrid-debt risk: a connected-person loan not unconditionally redeemable within 30 years → interest deemed a dividend in specie (loses s24J deduction, 20% dividends tax s64E), so keep the term ≤30 years.
- Connected-person tests: natural persons >20% equity/voting (Shareholder A 36% = connected; B 18% only if >20% voting, possibly via its director); VAT connected-person threshold >10% (both A and B); shareholder loans are exempt financial services (no VAT).
- s7C deemed donation on below-official-rate connected loans (donations tax 20%/25%, R100k exemption); a prospective-only rate cut avoids waiving accrued interest; waiving accrued interest is a s19/para 12A debt benefit (first reduces s36 mining capex, excess recouped as mining income).

DIAMANTE APPLICATION

- Bank + shareholder loans (A and B, together 54%) mature in H2 FY2027; the bank has signed a commitment to extend to 2030 conditional on a successful rights issue and revised shareholder terms; shareholders will not write loans off.
- Rank 1 (extend + amortise) is preferred — fixes immediate liquidity and reduces the refinancing cliff while avoiding unintended tax (term ≤30 years, rate ≥8%).
- Management's claim that finalising the loans is enough for going concern is over-optimistic — the rights issue (discount, dilution, 75% approval, subscription risk) is equally critical to fixing gearing.

EXAM HOOKS

- Recalculate the actual current portion from the final loan terms on the day — the ranking/conclusion changes with the real amortisation profile.
- Separate the IAS 1 classification (loans stay current) from the IAS 10/going-concern question (post-year-end evidence may support the basis).
- "Free mark" for recommending a tax specialist; auditors require signed agreements, minutes, term sheets, forecasts and legal/tax opinions, not verbal optimism.

Discontinued Operations & Disposal Groups — Mine 2

IFRS 5 held for sale · abandonment · care and maintenance

The three possible board decisions on Mine 2 (sell, close/abandon, or care and maintenance) and the different IFRS 5 outcomes each produces.

KEY CONCEPTS & RULES

- Three decisions, three answers: IFRS 5.13 forbids an asset to be abandoned ever being classified as held for sale; discontinued presentation for an abandoned asset begins only when the operation ceases to be used, not at the decision date.
- Care and maintenance = neither held for sale nor abandoned; the idle mine is an IAS 36.12(f) impairment indicator but assets stay in PPE, and units-of-production depreciation falls to near nil (disclose this).
- IFRS 5.32 discontinued-operation = a component that is (a) a separate major line of business/geographical area, (b) part of a coordinated disposal plan, or (c) a subsidiary acquired for resale.
- Mine 2 is a component and “major” (~34% of mine revenue, one of two assets); “separate geographical area” FAILS (both mines in SA); the decisive, contestable criterion is “separate major line of business” — arguable via the bifurcated market (small commercial vs large premium) and Mine 2’s 42% revenue decline vs Mine 1’s 28%.
- If sold: Step 1 test held-for-sale (IFRS 5.6–8: available for immediate sale, highly probable, sale within one year); Step 2 remeasure under other IFRSs first (IAS 36, IAS 2, IFRS 9, IAS 37/IFRIC 1); Step 3 measure at lower of carrying amount and FVLCS (IFRS 5.15).
- Step 4 allocate impairment IAS 36.104–105 order (goodwill first, then pro rata to non-current assets in scope) — nothing to inventory, financial assets or deferred tax (IFRS 5.5 scope-outs); Step 5 reversals capped at cumulative impairment recognised (IFRS 5.21–22).
- Presentation asymmetry: balance-sheet comparatives NOT re-presented (IFRS 5.40); income-statement comparatives ARE re-presented as a single post-tax line (IFRS 5.33–34). Depreciation ceases on classification (IFRS 5.25).
- Deferred tax stays under IAS 12, but held-for-sale changes expected recovery from use to sale (IAS 12.51) — possibly switching to CGT with a different base/rate.

DIAMANTE APPLICATION

- Worked example: mining PPE post-impairment R1,067m − rehabilitation provision R100m = R967m net; fair value R900m − costs to sell R45m = R855m FVLCS; IFRS 5 impairment on classification = R112m.
- Reversal ceiling after classification = R333m (FY2026 IAS 36) + R112m = R445m; depreciation ceases, saving ~R217m/year.
- If Mine 2 is discontinued, the FY2025 income-statement comparative is restated, dropping continuing revenue from R2,790m to R1,710m — recalibrate all revenue-trend commentary.

EXAM HOOKS

- The point most candidates miss: IFRS 5 applies differently to sell vs abandon vs care-and-maintenance.
- The discontinued conclusion rests on “separate major line of business”, not geography — argue both sides.
- Watch the CGU-composition error inside the IFRS 5 measurement and the catch-up depreciation risk if a sale stalls.

Fair Value — Botswana Mine Disposal

IFRS 5 discontinued ops · IFRS 10 loss of control · IFRS 9/IFRS 13 contingent consideration

Why the loss-making Botswana disposal produced a R405m profit, how the contingent consideration was valued at nil, and the audit, presentation, tax and forward-looking consequences.

KEY CONCEPTS & RULES

- The disposal produced a profit because the mine was technically insolvent — liabilities exceeded assets by R405m, so derecognising a net obligation for nil consideration is a R405m gain (consistent with group provisions falling R900m→R621m).
- IFRS 5.32: Botswana is correctly a discontinued operation (a distinct geographical area, separate component, explicit board exit decision).
- IFRS 10.B98 on loss of control: derecognise the subsidiary's assets/liabilities at carrying amount, derecognise NCI, recognise FV of consideration, reclassify OCI to P&L, difference = gain/loss.
- The R144m price is payable only from the mine's future distributable cash flows → contingent consideration; under IFRS 9 it fails SPPI so is at FVTPL, initially nil (no ECL, no discount unwinding, all movements to P&L).
- IFRS 13: a Level 3 measurement (all significant inputs unobservable); income approach (expected present value) is the only workable technique; payment is gated by a legal solvency-and-liquidity test, so the model must estimate when the mine becomes distributable.
- Justifying nil is HARDER than a positive number: nil implies near-zero probability of ever distributing, contradicted by the buyer paying R144m, by option theory (a long-dated OTM option still has value) and by Diamante's own "ripe for recovery" view; IFRS 13.93(h) sensitivity shows any plausible uplift takes it off nil. In fairness, nil is conservative (it reduced the gain).
- Audit challenges: (1) is nil really fair value (understatement is also a departure); (2) can the rehabilitation provision be derecognised — strongest challenge, IAS 37.59 allows reversal only when discharged/cancelled/expired (residual licence liability, guarantees, trusts may prevent it; R279m movement); (3) where is the FCTR — IAS 21.48 mandates recycling on disposal of a foreign operation; (4) intragroup balances eliminate; (5) substance over form.
- Presentation/tax: IFRS 5.33 single post-tax line, re-present comparatives (IFRS 5.34); IAS 7.39–42 the R405m profit is a cash OUTFLOW (no cash in, cash left with the mine); accounting/tax mismatch is an IAS 12.81(c) reconciling item; possible participation exemption (para 64B, ≥10% for ≥18 months).

DIAMANTE APPLICATION

- The asset is at FVTPL carried at nil → asymmetric: no downside (can't go below zero), uncapped upside; any FY2027 uplift (e.g. nil→R60m) is a gain in discontinued operations, likely untaxed, lifting equity R891m→R951m with zero cash.
- FY2027 is the first year the LTI measures "net profit growth ≥5%", and KPI 2 has NO one-off carve-out — so a non-cash uplift on a business already sold could count toward the bonus; growth measured off a R1,044m loss base is mathematically meaningless.
- Four FY2027 earnings levers were created by FY2026 judgements: Botswana FV uplift (nil floor), IAS 36 impairment reversal (R963m headroom, capped by IAS 36.117), lower depreciation (Mine 2 reset ~R280m→~R213m), inventory NRV reversal (IAS 2.33).

EXAM HOOKS

- Acknowledge management's conservatism (nil reduced the gain) before challenging — IFRS 13 requires neutrality, not prudence.
- Recommend revisiting the nil valuation while the FS are draft (buyer's business plan, option cross-check, reconcile the price deck to the Mine 1/2 VIU) and amending KPI 2 (carve-out + absolute target).
- The FY2027 disclosure trap: a Level 3 nil-to-R60m reconciliation forces management to explain why FY2026 was nil.

Impairment & CGU — Mine 1 and Mine 2

IAS 36 impairment of cash-generating units

The IAS 36 impairment of the two mines, focusing on the CGU-composition error, allocation of the loss, deferred tax and reversal.

KEY CONCEPTS & RULES

- IAS 36 scope-outs: inventories, contract assets, deferred tax assets, financial assets, investment property, biological assets; recoverable amount = higher of VIU and FVLCD.
- Both mines' recoverable amount fell below carrying amount → impairment Mine 1 R630m + Mine 2 R333m = R963m, triggered by declining diamond prices (IAS 36.12(a) external indicator).
- Mine 1 reversal: the development blocks will NOT cause a reversal — they are an improvement, not a restructuring (IAS 36.46), so their cash flows cannot be included.
- CGU-composition error: the pre-release says each CGU includes PPE, receivables, inventory, payables, provisions and cash, but IAS 36 scopes out inventory (IAS 2), receivables/cash/payables (IFRS 9); only the rehabilitation provision stays in the CGU (para 78 — a buyer assumes it).
- Consequence: IAS 36.104 allocates the loss pro rata on carrying amount, so out-of-scope items wrongly absorb part of the loss, leaving mining PPE UNDER-impaired; this is a current-year error (draft FS), not a prior-period error.
- Deferred tax: mining capex is deducted broadly in full when incurred (s15(a)/s36, per-mine ring-fencing), so the tax base is near nil while carrying amount is large — impairment releases the DTL (consistent with the DTL collapsing R639m→R45m).
- Measurement: VIU uses pre-tax cash flows over the approved life-of-mine plan at a pre-tax asset-specific rate; foreign cash flows estimated in USD then converted at spot; ≤5-year projections unless justified.
- Allocation floor (IAS 36.105): no asset below the highest of its FVLCD, VIU and zero; reset depreciation prospectively (IAS 36.63); reassess reversal each period, capped at depreciated carrying amount had the loss never occurred (IAS 36.117 ceiling).

DIAMANTE APPLICATION

- Mine 2 worked example: carrying amount PPE R1,400m − rehab provision R100m = R1,300m; FVLCD R940m − R40m = R900m; VIU (5-yr, 12% pre-tax) = R967m; impairment R967m − R1,300m = R333m.
- Allocation across PPE (R800m/R400m/R200m): mining equipment floored at its FVLCD R170m, R17.6m excess reallocated → final PPE R598m/R299m/R170m (R1,067m).
- Journals: Dr Impairment R333m / Cr Accumulated impairment R333m; deferred tax at 27% Dr DTL R90m / Cr P&L R90m (net ~R243m); depreciation reset R280m→R213m over 5 years.

EXAM HOOKS

- Core trap: the CGU-composition error under-impairs mining PPE — keep only the rehabilitation provision (para 78).
- Distinguish improvement from restructuring (IAS 36.46) for the Mine 1 blocks — no reversal.
- Disclose per IAS 36.126/130/132/134(f): amount by class and P&L line, indicators, CGU description, VIU-vs-FVLCD basis, discount rate, key assumptions/sensitivity.

Revenue Recognition Research

IFRS 15 revenue for rough-diamond tender sales

The IFRS 15 five-step model applied to tender sales, focusing on when control transfers, exceptional diamonds, variable consideration, bill-and-hold, audit and ethics.

KEY CONCEPTS & RULES

- Revenue is from sealed-bid/blind-auction tenders (7×/year, bids must beat a reserve price or the sale is void; special stones sold privately; buyer creditworthiness set at registration); the key issue is the date control transfers — management recognises on the award date, hinted to be premature.
- Five-step model: Step 1 contract (approved after the auction, commercial substance, probable collection); Step 2 one performance obligation (supply diamonds); Step 3 price = winning bid, adjusted for deferred payment (time value), rare-diamond terms and forex; Step 4 allocate all to the single PO; Step 5 point in time (over-time criteria fail — no consumption as mined, no control during extraction, alternative use exists).
- Test the four candidate dates (bid, award, legal title, delivery) against the five IFRS 15.38 control indicators (right to payment, legal title, physical possession, risks and rewards, acceptance); award-date defends only “probable collection”, while possession, risk-of-loss and acceptance point to delivery/collection → award is likely premature.
- Exceptional/rare diamonds: special tender (most likely), international auction house (principal-vs-agent, commission), private negotiation (modifications, contingent pricing), or profit-share (variable consideration).
- Principal vs agent (IFRS 15.B37): Diamante is likely the principal for normal sales (controls the diamond, bears inventory risk, sets the reserve price) → gross revenue with commission as expense; agent → net commission only.
- Variable consideration: estimate with expected value or most likely amount, and apply the constraint (only to the extent a significant reversal is highly probable not to occur).
- Bill-and-hold (IFRS 15.B79–B82): revenue before delivery only if a substantive reason, the parcel is identified as the customer’s, ready for transfer, and Diamante cannot redirect it — otherwise a cut-off issue.

DIAMANTE APPLICATION

- Tenders won near 30 June 2026 but delivered later create a specific cut-off audit risk; storage/security costs after the tender raise bill-and-hold.
- Refinancing pressure and consecutive losses give management a motive to prefer the earlier (award) date — an integrity/self-interest threat needing scepticism on control, variable consideration and collectability.
- Likely asks: critique the award-date policy against IFRS 15.38, calculate transaction price / variable consideration / principal-vs-agent, assess bill-and-hold, design cut-off/occurrence procedures, and the ethics of revenue judgement under distress.

EXAM HOOKS

- The steer is that recognising on award is likely premature — test all five IFRS 15.38 indicators, don’t assert the policy.
- Audit procedures: cut-off (award dates, delivery/title docs, terms), occurrence (bid existed, sale approved, buyer legitimate, parcel transferred), and tender-platform IT controls.
- Steps 1, 2 and 4 are largely pre-answered — the real ask is the point-in-time control judgement, a calculation, or bill-and-hold.

Going Concern & Financial Statement Analysis

IAS 1 · ISA 570 · Companies Act s4 · King IV · ratio analysis

The going-concern framework and full ratio analysis for Diamante — from management's IAS 1 assessment through the ISA 570 audit response to disclosure and the audit-report outcome.

KEY CONCEPTS & RULES

- IAS 1 places the initial going-concern assessment on MANAGEMENT (not the auditor) — assess ability to continue, consider all future information (incl. the refinancing), identify material uncertainties, prepare supporting forecasts.
- IFRS 18 update: IAS 1 still applies for 30 June 2026 (IFRS 18 effective FY2028); the GC requirement moves unchanged to IAS 8 ("Basis of Preparation"), the current/non-current rule is unchanged (R2,925m stays current), and IFRS 18 must be disclosed as issued-but-not-yet-effective (IAS 8.30–31).
- IAS 1.69/72A: R2,925m borrowings are current because the 2030 extension was conditional at 30 June 2026; IAS 10.14–16: a post-year-end refinancing is non-adjusting for classification, but going concern is the IAS 10 exception, assessed on all information to authorisation.
- Quality of earnings: the R1,044m loss UNDERSTATES the deterioration — continuing-operations loss is R1,386m, flattered by a R342m discontinued-ops profit (the R405m non-cash Botswana gain); excluding it, the operating loss worsened R864m→R1,638m.
- ISA 570 six steps: understand management's assessment; consider events/conditions (recurring losses, R2,340m net current-liability deficit, R2,925m debt due, R963m impairment, ECL up R27m→R207m, receivables R477m→R198m); evaluate mitigation and forecasts; obtain written representations; conclude on material uncertainty.
- Funding-evidence strength: bank commitment = medium (conditional); shareholder support = medium (no final agreements); rights issue = weak (future special-meeting approval). Diamante is balance-sheet solvent but illiquid (assets R4,851m > liabilities R3,960m, equity R891m).
- Audit-report outcomes (ISA 570 Revised): basis inappropriate → adverse (21); appropriate, no uncertainty → unmodified (20); appropriate + material uncertainty with adequate disclosure → unmodified with a "Material Uncertainty Related to Going Concern" section (22, NOT a qualification — most likely for Diamante); inadequate disclosure → qualified/adverse (23); management won't assess → qualified/disclaimer (24).
- Companies Act s4: solvency (assets > liabilities — R891m margin thin at 81.6% gearing) and liquidity (negative working capital R2,340m, current ratio 0.30); the R72m cash rise came from working-capital release, not operations — a warning, not comfort.

DIAMANTE APPLICATION

- Management concludes the GC basis is appropriate but a material uncertainty exists (R2,925m current borrowings, working-capital deficit, continuing losses, conditional refinancing, outstanding approvals).
- Key ratios: current 0.30 (from 1.12), quick 0.21, cash 0.10, working capital (R2,340m), net debt R2,592m, D:E 3.28 (from 1.27), gearing 81.6%, interest cover (4.33), revenue growth (33.2%), operating margin (87.9%), equity down 53.5%.
- Provides an illustrative IAS 1 GC note and the KZL Inc. "Material Uncertainty Related to Going Concern" audit extract (opinion unmodified).

EXAM HOOKS

- Apply professional scepticism (ISA 200/540) to management's optimism — corroborate the conditional refinancing with objective evidence.
- Distinguish the flattered loss (R1,044m) from the worse underlying operating loss (R1,638m).
- Structure: Indicators → Management plans → Auditor testing → Material uncertainty? → Audit-report impact; remember the material-uncertainty section is NOT a qualification.

Performance Measures & Incentive KPIs

Performance Measures — RI · EVA · FCF

Residual Income · Economic Value Added · Free Cash Flow for the incentive scheme

The calculation, use and Diamante-specific pros and cons of RI, EVA and FCF as measures for the proposed long-term incentive scheme.

KEY CONCEPTS & RULES

- RI = NOPAT − (WACC × net investment) — rand profit after charging for capital used; rewards value above the cost of capital, fixes ROI's ratio bias, and a negative RI honestly signals value destruction.
- EVA = (NOPAT ± adjustments) − WACC × (net investment ± adjustments) — RI adjusted to economic reality (e.g. add back the R963m impairment, capitalise leases); purpose-built for shareholder value, discourages short-termism, supports a bonus bank.
- FCF (simple) = cash from operations − sustaining capex — rewards real cash, harder to manipulate, avoids the R963m impairment and R405m Botswana distortions.
- RI cons: absolute figure (bigger mine = bigger RI); starts from distorted accounting profit; WACC uncertain pre-refinancing; can be flattered by delaying capex (dangerous in deep mining).
- EVA cons: adjustments complex, judgemental and gameable; very WACC-sensitive; classic brand/R&D adjustments add little for a miner.
- FCF cons: depressed by heavy mining capex; can be boosted by cutting essential/safety spend (must be protected); swings with the uncontrollable diamond price (benchmark it); short-term cash focus risks under-investment (pair with RI/EVA).

DIAMANTE APPLICATION

- Illustrative: group RI ≈ (979) − 12%×4,419 ≈ −R1,509m; EVA ≈ −R1,500m after adding back the impairment; FCF proxy adj. EBITDA ≈ R207m (halved from R540m).
- Each mine is already a separate CGU, so per-mine RI needs no new systems.
- Recommended blend: FCF for survival (headline), per-mine RI, and a banked group EVA for executives — one-offs removed, cost of capital set independently, essential spend protected.

EXAM HOOKS

- Before using any measure, remove the R963m impairment and R405m Botswana profit.
- Set the WACC and EVA adjustments independently so they cannot be tuned to justify a bonus.
- Apply the controllability principle — benchmark FCF against the diamond price.

Incentive Scheme KPI Critique & IFRS 2 (Document 5)

Responsibility accounting / KPI design · IFRS 2 share-based payments

A critical evaluation of each proposed LTIP KPI, a recommended tiered balanced scorecard, and the IFRS 2 accounting for the share-based scheme.

KEY CONCEPTS & RULES

- Overall: the LTIP is right in principle (long-term, share-based, aids retention/alignment) but not in its current form — the same KPIs for all managers breach responsibility accounting/controllability, some targets are weak or unachievable, and the design can reward value-destructive behaviour.
- KPI 1 (mining cost growth below inflation): excluding impairments is correct, but the threshold is too low (costs already fell 18.5% R2,817m → R2,295m in a loss year), it rewards absolute cost cuts (mine less / defer maintenance), and ignores FX/fuel/grade — replace with cost per carat vs approved budget per mine.
- KPI 2 (net profit growth ≥5%): unachievable while loss-making, largely uncontrollable (USD price, FX, impairments) and manipulable via disposals (R405m Botswana) or impairment decisions — replace with a value/cash measure (FCF or reduction in operating loss).
- KPI 3 (high-value diamonds % of total): aligned to the value-led strategy but only partly controllable (geology), "high value" is subjective and encourages high-grading — keep but define objectively vs tender records with independent geologist confirmation.
- KPI 4 (inventory reduction): relevant (R315m tied up) but contradicts deferring tenders in weak markets, can be met via write-downs, and freed cash benefits creditors not shareholders — replace with a cash-conversion measure.
- KPI 5 (EY integrated-reporting rating): measures report quality not ESG performance (greenwashing), external and uncontrollable — replace with hard ESG outcomes (injury frequency, tailings/rehab compliance, GHG vs the 35–40% Scope 1&2 roadmap).
- IFRS 2 classification: based on settlement substance — equity-settled unless there is a cash obligation/option; a 3–5x salary link does NOT make it cash-settled. Conclude equity-settled (confirm no cash alternative/SAR feature).
- IFRS 2 recognition/measurement: expense over the 3-year vesting period from grant date (shared understanding — may not yet exist as the scheme is "proposed"); measure at grant-date fair value; equity-settled is NOT remeasured after grant date. Dr Employee benefits expense / Cr SBP reserve.
- IFRS 2 subsequent: at each reporting date revise the number expected to vest for the service and non-market performance conditions (KPIs 1–5); cumulative expense = grant-date FV × latest estimate; if vesting fails, reverse. Share price at vesting sets the number of shares (a settlement method), not a vesting condition, so it does not change grant-date FV.

DIAMANTE APPLICATION

- Worked IFRS 2 (R40m salary × 4 = R160m, even 3-year vesting): Yr1 at 70% → R37.3m; Yr2 revised 40% → R5.4m; Yr3 actual 30% → R5.3m; if 0% vests in Yr3, reverse the R42.7m (Dr SBP reserve / Cr expense R42.7m).
- Recommended tiered balanced scorecard with gateways for all (no major safety breach, no serious compliance breach, no data manipulation): executives on group recovery/refinancing/value; mine management on cost per carat, recovery quality, safety, mine-plan compliance; sales/inventory on realised price, cash conversion, ageing; ESG on real safety/tailings/rehab/emissions outcomes.
- Alternative ESG KPIs with formulas: LTIFR (LTIs × 1,000,000 ÷ hours), GHG reduction % and tCO_2e/carat, water recycled % and water/carat, tailings incidents, rehabilitation % and provision÷closure-cost, ethical-sourcing certified %.

EXAM HOOKS

- Address Lavashni's understanding per KPI — right on cost control (1) and operational excellence (3); wrong that profit growth = shareholder benefit (2); only partly right on inventory (4); wrong that a reporting rating = ESG excellence (5).
- Ground the critique in responsibility accounting/controllability — a mine manager cannot control group net profit or an external reporting rating.
- Note the ore-grade point: cost performance can be flattered by mining higher-grade areas, not real efficiency.

Ethics & Governance

Ethics — Incentive Scheme (Document 5)

Companies Act · King IV · SAICA CPC · Fraud Triangle

The Companies Act, King IV, SAICA Code and fraud-risk concerns raised by the proposed management LTIP.

KEY CONCEPTS & RULES

- SAICA CPC applies to Lavashni ONLY if she is a CA(SA)/professional accountant — the pre-release describes her only as an independent non-exec and incoming remuneration-committee chair (confirm first).
- Companies Act: directors' duty of care and best interests (Lavashni confirming facts, missed the AGM — uninformed-decision risk); personal financial interest if directors receive incentives (self-interest, s75); approvals for share-based director remuneration; solvency/liquidity/affordability (loss-making, refinancing, no dividends yet large awards).
- King IV: ethical leadership (rewarding management while staff bonuses are paused); fair and responsible remuneration (Principle 14, 3–5x salary while loss-making); governing-body oversight (chair missed the AGM); proper delegation (management should input, not approve, its own scheme); sustainable value creation; responsible corporate citizen/ESG integrity (rating ≠ real ESG); compliance governance (make safety/maintenance/environment bonus gatekeepers).
- SAICA CPC principles threatened: integrity (presenting the scheme as sustainable/ESG-aligned when KPIs drive short-termism/greenwashing); objectivity (management benefits from KPI design; chair relying on hearsay); professional competence and due care (KPI design ignores the full risk profile; misspelled a name); professional behaviour (awards during distress; KPIs incentivise unsafe conduct).
- Fraud Triangle: Pressure (losses, liquidity, no dividends → pressure to show recovery); Opportunity (management influences KPI design and the narrative); Rationalisation (retention/alignment/ESG justifications are weak if KPIs don't measure sustainable value).

DIAMANTE APPLICATION

- Management would receive share-based LTIP awards of 3–5x salary over three years while Diamante is loss-making, refinancing, has paused staff bonuses and declared no dividends.
- The independent remuneration committee (chaired by Lavashni) should review and recommend, with management input only; safeguards: benchmarking, deferring awards until refinancing resolves, safety/environmental gatekeepers, verified operational ESG outcomes.
- Operational-risk link: the cost-growth KPI can drive unsafe cost-cutting (injuries, equipment failure) — mitigate with safety KPIs, environmental gatekeepers and board oversight.

EXAM HOOKS

- Flag the optics/fairness concern: management incentives while staff bonuses are paused and no dividends.
- Recommend independent remuneration-committee and board scrutiny; conflicted directors must not approve their own rewards.
- Confirm the CPC even applies to Lavashni before citing it against her.

Ethical & Governance Concerns (Overall Pack)

Pervasive ethics — going-concern bias · related parties · tax · disposal · LTI · confidentiality · NOCLAR

The seven pervasive ethical and governance concerns across the whole pre-release, mapped to the SAICA CPC, King IV and Companies Act.

KEY CONCEPTS & RULES

- (1) Management bias in the going-concern narrative ("we believe/we are confident" + conditional refinancing): CPC objectivity and competence, s220, King IV P15/P1, Companies Act s76 — reflect genuine uncertainty (IAS 1.25) and corroborate refinancing claims.
- (2) Related-party conflicts: Shareholders A and B control 3 board seats and the refinancing depends on their loans and a rights issue they vote on: Companies Act s75 (disclose and recuse), s76, King IV P7/P8, CPC Section 210, JSE related-party rules (fairness opinion, approval excluding the related party), IAS 24.
- (3) Tax structuring of the shareholder loan (A wants "no unintended adverse tax"): CPC integrity/professional behaviour, s220 — only legitimate defensible structuring with bona fide purpose; watch reportable-arrangement duties and the avoidance/evasion line.
- (4) Botswana disposal (Rnil consideration, R405m profit "which helped our bottom line"): a management-bias flag — CPC objectivity/due care, s220, King IV P15 — test the nil fair value and R405m profit are supported (same discipline for the R963m impairment).
- (5) The LTI scheme: KPIs (profit growth ≥5%, inventory reduction, high-value %) incentivise management to manage the very numbers the CA(SA) prepares: CPC Section 240 (incentives) and 270 (pressure); King IV P14; plus paused staff bonuses, no dividends, and a chair who missed the AGM.
- (6) Confidentiality/insider information: the refinancing, rights issue and shareholder talks are price-sensitive and non-public: CPC confidentiality, Financial Markets Act insider-trading rules, JSE closed-period rules — restrict information, observe closed periods, do not deal or tip.
- (7) Pressure and NOCLAR: the CA(SA) is new and junior: CPC Section 270 (pressure) and 260 (NOCLAR — respond/escalate); Companies Act s22 (reckless/insolvent trading), s4 (solvency/liquidity), s77 (director liability).

DIAMANTE APPLICATION

- The Botswana mine was sold for deferred consideration at nil fair value, and derecognising net liabilities produced the R405m profit that flattered the income statement in a loss year.
- The LTI grants shares worth 3–5x salary over three years, with KPIs bearing directly on profit and inventory — a self-interest/fraud/management-bias risk pervading the financial statements.
- If continued trading raises reckless-trading concerns (s22) or the tax structuring crosses into non-compliance, NOCLAR guides escalation to management/those charged with governance.

EXAM HOOKS

- Apply heightened scepticism to profit, impairment and inventory judgements because the LTI creates a manipulation incentive.
- Ensure conflicted shareholder-appointed directors declare interests and recuse from the loan and rights-issue approvals.
- Do not adopt management's "confidence" — insist disclosure reflects genuine uncertainty and corroborate with signed evidence.

Strategic Analysis Frameworks

Porter's Five Forces · SWOT · PESTEL · FRICTO

How to apply four strategy lenses to Diamante — three diagnostic (Porter's, SWOT, PESTEL) and one evaluative (FRICTO) — to screen the Mine 1 block choice and the refinancing package.

KEY CONCEPTS & RULES

- Use the lenses in sequence: diagnose the environment and position first (Porter's, SWOT, PESTEL), then evaluate a defined decision with FRICTO.
- Porter's Five Forces for Diamante: new entrants Low (capital, geology, licensing, Kimberley Process); supplier power Moderate; buyer power Moderate; substitutes (lab-grown) Moderate but easing; rivalry High (De Beers-dominated, all fighting the same demand slump).
- Key Porter's insight: the industry structure is reasonably favourable — the problem is a demand-side cyclical/geopolitical downturn plus company-specific execution, so the lever is operational execution and capital structure, not industry forces.
- SWOT strengths: Kimberley Process traceability, value-led strategy, tender-deferral optionality, diversified end-markets (US 52%, India 11%, China 10%, RoW 27%), signed bank commitment. Weaknesses: sustained losses, equity nearly halved, debt now current, product-mix variability, refinancing conditionality, loss of Botswana diversification, paused bonuses.
- SWOT opportunities: India ~12% YoY middle-class growth, receding LGD threat, two Mine 1 blocks, ESG/traceability differentiation, rights-issue reset. Threats: US tariff volatility (52% of revenue), luxury-demand drag, tailings/climate risk, refinancing failure, further impairments.
- PESTEL headings applied: Political (US tariffs, Kimberley Process, Botswana state buyer); Economic (luxury slump, USD revenue vs ZAR cost/financing mismatch); Social (Indian middle class, natural-vs-synthetic, ethical sourcing); Technological (LGD cost curve, mining tech); Environmental (tailings/water, 35–40% Scope 1&2 by 2030); Legal (mining licences, loan tax, rights-issue law).
- FRICTO scores a defined option on Flexibility, Risk, Income, Control, Timing and Other — applied to Decision A (which Mine 1 block) and Decision B (refinancing structure: bank extension + rights issue + shareholder-loan renegotiation).
- FRICTO Decision B: the three legs must all land together (high Risk weighting — under-subscription, Shareholder A/B agreement, special-meeting approval); rights issue cuts gearing but dilutes EPS; Shareholders A (36%) + B (18%) hold 54% and 3 of 8 board seats (Control); tax-neutrality is a hard constraint that may rule out debt-for-equity swaps.

DIAMANTE APPLICATION

- Decisions A and B are interdependent: how much the refinancing raises and when caps what is affordable on Mine 1, so a high-risk view on B pushes toward the lower-capital, more flexible Mine 1 option.
- Model conclusion: "Option 1 offers stronger income but at higher risk and lower flexibility during a liquidity-constrained period, so Option 2 is preferable until the refinancing is secured."
- Central tension: real opportunities exist (India, Mine 1 blocks, ESG) but the balance sheet may not support pursuing them aggressively yet.

EXAM HOOKS

- Do not just tick each FRICTO letter — rank the specific options against each element and give an explicit, traded-off recommendation.
- Recognise that fixing Porter's forces is not the lever; execution and capital structure are.
- The tax-neutrality constraint can eliminate attractive restructuring structures before they are even analysed.

Investment Decision — Mine 1 Development Blocks

Capital budgeting · capital rationing · evaluating a management expert

The capital-budgeting approach for screening the two Mine 1 development blocks under constrained capital and uncertainty, plus how to audit the geological expert.

KEY CONCEPTS & RULES

- Step 1 NPV: discount relevant, incremental, after-tax cash flows at WACC (negative → reject); IRR>WACC is secondary; include opportunity/erosion costs, working-capital and terminal cash flows; exclude sunk costs, allocated fixed costs and accounting depreciation.
- Expected values: build revenue as probability-weighted stone yields (Block 1 ≈ R6,800/month, Block 2 ≈ R9,800/month); measure relative risk with variability, standard deviation, or coefficient of variation (SD ÷ expected NPV when NPVs differ), against a low risk appetite.
- Forex: costs are ZAR but diamond income is USD (auctions priced in USD), so convert export income at USD/ZAR (16.54 at 31/07/2026) to match the ZAR discount rate.
- WACC: include only long-term capital (equity always; long-term interest-bearing debt if in the structure). Because Diamante is fully restructuring, RECALCULATE WACC after the rights issue and restructured debt.
- Step 2 Profitability Index = PV of project ÷ initial outlay — NPV per R1 invested, the key measure under capital rationing; divisible → allocate to highest PI; indivisible (mine blocks) → may pick lower PI but higher total NPV to use the fixed budget.
- Step 3 Equivalent Annual Annuity (NPV ÷ PVAF) for unequal lives — but assumes repeatability (unlikely for a block), so use cautiously.
- Step 4 payback: for uneven cash flows find when cumulative cash recovers the outlay; ignores time value but a fast payback frees liquidity (critical given going concern).
- Step 5 qualitative: going concern (liquidity/solvency) is the number-one filter; the project must be long-term, sustainable, improve existing operations (not diversify), and favour quality over quantity (high-end natural stones are less LGD-sensitive).
- Evaluating the expert: independent consulting geologist (SACNASP/ECSA/GSSA/SAIMM), SAMREC "Competent Person" (≥5 yrs); resource hierarchy Measured > Indicated (→ Probable Reserve only) > Inferred (too speculative); study levels Scoping (±30–50%), Pre-feasibility (±15–25%), Feasibility/bankable (±10–15%).

DIAMANTE APPLICATION

- Trigger (mainly Doc 4): which of two Mine 1 blocks to prioritise for FY2027, given different diamond quality, geological certainty, capital and long-term value.
- Strategy is "quality over quantity": reject negative NPV → rank by PI under constraint → maximise total NPV for indivisible projects → adjust for risk/liquidity/strategy → recommend proceed/defer/investigate.
- For Mine 2, if discontinuing, weigh strategy misalignment, disposal difficulty (as with Botswana), rehabilitation liabilities, worker/community impact and single-mine concentration risk.

EXAM HOOKS

- Tell the marker going concern/liquidity is the number-one strategic filter.
- Use PI (not raw NPV) under capital rationing; be explicit on divisible vs indivisible.
- Audit the expert on competence/independence, source-data completeness, methodology, sensitivity and management bias (opinion shopping, LTI incentives, refinancing pressure); escalate under ISA 620/260/705.

The Diamond Mining Life Cycle

Industry background (Minerals Council SA)

The nine-stage physical life cycle of diamonds from exploration to mine closure, plus the Kimberley Process — the operational context behind the accounting.

KEY CONCEPTS & RULES

- Exploration: geologists locate kimberlites (primary source) via remote sensing/geophysics/sampling, then drill core to establish grade, cost per tonne and value per carat before a mine/no-mine decision.
- Mining methods: open-pit (blast ~45,000 t) and underground block caving (mechanised bulk mining, safe, since Kimberley 1951) for primary pipes; alluvial (secondary deposits, small but high-quality stones); marine (seabed gravel).
- Ore processing: crushing (≤150mm), scrubbing (screen out <1.5mm), dense-media separation (ferrosilicon cyclone), and recovery (X-ray luminescence/laser fluorescence trigger an air blast into a collection box).
- Cleaning/sorting: acid-clean, sort by size (carat) then quality (colour, clarity), splitting gem from industrial diamonds; ~80% of mined diamonds are industrial (tools, drill bits, abrasives); lowest opaque grade = boart.
- Rough sales: usually by tender (confidential electronic bids, highest wins); De Beers DTC sells via sightholders (3-year contracts); shipped in sealed, numbered, tamper-resistant containers with a certificate of origin (Kimberley Process).
- Kimberley Process: originated Kimberley 2000, KPCS in force 2003; cut conflict diamonds from ~4% to ~0.2% of supply; 54 participants / 81 countries (~99.8% of rough production).
- Cutting & polishing (marking, sawing, bruting, blocking, brillianteering — only a diamond cuts a diamond); gemstone sales on ~30 bourses; closure and rehabilitation return the land to agreed use.

DIAMANTE APPLICATION

- Gives the operational context for Diamante — two SA mines, tender/blind-auction sales with reserve prices, no mixing of mine production, the gem-vs-industrial split behind "quality over quantity", and the rehabilitation/closure obligations behind the provisions.
- Explains the Kimberley Process traceability and sealed-container certificate-of-origin process behind the controls/ESG analysis.

EXAM HOOKS

- Reference material (external, dated 31/07/2026), not a technical trigger — use it for terminology (kimberlite, grade, boart, sightholder, block caving).
- The rehabilitation/closure stage links directly to the IAS 37 provisions, the CGU impairment and the Botswana derecognition.

Controls, Traceability & ESG

Controls, Traceability, ESG & Assurance (Document 2)

Internal controls · chain of custody · Kimberley Process · ESG · internal/external audit

A layered control, traceability, ESG and assurance framework for Diamante's diamond operations, with exam-day response templates.

KEY CONCEPTS & RULES

- Core thesis: traceability is a strategic capability — controls must prove diamonds came from the correct mine, were recorded completely, safeguarded, sold fairly and supported by ESG evidence; Kimberley Process is the minimum, not the full answer.
- Kimberley Process (KPCS) prevents conflict diamonds entering trade at country/shipment level (government certificates, sealed containers, import/export verification); it does NOT prove labour, environment, community, carbon or full mine-to-consumer sustainability.
- Control method throughout: state the control → why it matters → the risk → how the risk is reduced. Recovery/completeness controls (controlled recovery zones, exit screening, immediate recording, dual sign-off, yield analytics, CCTV) stop unrecorded theft.
- Chain-of-custody controls (unique batch IDs, mine-specific segregation since production is never mixed, movement logs, tamper-evident seals, stage reconciliation) prove completeness and provenance — stronger than year-end counts.
- Inventory controls (biometric vault access, independent counts, ageing, adjustment review, insurance) also link to liquidity/going concern (R315m in unsold diamonds); sorting/valuation controls (experienced valuators, independent review, segregation, exceptional-diamond committee, tender benchmarking) support the value-led strategy and the high-value KPI.
- Tender controls split between external infrastructure (SA DEEC/SADPMR/SARS, Government Diamond Valuator, Antwerp triple-control, tender-house registration/creditworthiness/bid encryption) and Diamante-operated controls (reserve-price approval, parcel-to-bid matching, revenue controls, SOC-report oversight) — accountability cannot be outsourced.
- Technology: blockchain/Tracr gives an immutable audit trail but not correct source data (garbage in, garbage out) — fix in-house data capture first, use correction transactions, and given liquidity do a phased cost-benefit roadmap; an analytics dashboard is a cheaper first step.
- ESG/responsible sourcing: the RJC Code of Practices covers ethics, human rights, labour, health and safety, environment and product disclosure — beyond KP conflict-free status.
- Assurance roles differ: Internal Audit tests control design and operating effectiveness; External Audit targets FS assertions (inventory IAS 2, revenue IFRS 15, IT, fraud) and may use IA work only where competence and objectivity allow.

DIAMANTE APPLICATION

- Pre-release clues (customer origin demands, KP protocols, no mixing, IA and new tech, tender sales, inventory liquidity pressure) make controls/traceability a likely integrated trigger.
- The high-value-diamond KPI gives sorting/valuation controls a governance dimension — weak controls create management-bias incentives, so independent review and segregation are essential.
- Sequencing under distress: improve source-data quality and dashboards first, then Tracr/RJC where cost-benefit justifies (align to RJC before seeking certification).

EXAM HOOKS

- Use the five templates as structures: recommend/evaluate controls, IA procedures, EA procedures, blockchain-vs-analytics, and ESG/RJC certification.
- Distinguish externally-provided from Diamante-operated controls; never conclude blockchain "solves" traceability without reliable source controls.
- The tender process is where chain of custody, valuation, buyer due diligence, reserve-price discipline, bid integrity, export compliance and revenue recognition converge.

Real-world comparator — Petra Diamonds

Petra — Independent Auditor's Report & Directors' Responsibilities

Real ISA 570 going-concern audit report (BDO LLP)

A real-world example of an unmodified audit opinion carrying a Material Uncertainty Related to Going Concern paragraph — the exact outcome most likely for Diamante.

KEY CONCEPTS & RULES

- Unmodified ("clean") opinion: true and fair view, prepared per IFRS as adopted by the EU and the Bermuda Companies Act 1981.
- Material Uncertainty Related to Going Concern paragraph draws attention to Note 1.1 (refinancing of the Senior Secured Bank Debt and 2L Notes not yet concluded and not within the Directors' control); the opinion is NOT modified in respect of this matter.
- Going concern was also treated as a Key Audit Matter given the material uncertainty and risk assessment.
- Audit procedures on GC: evaluate base-case cashflow and covenant forecasts (prices, production, costs, FX, capex); review downside sensitivities (stronger ZAR, lower prices/production); inquire on refinancing progress and review RNS announcements, term sheets, the signed Absa commitment, backstop and lock-up agreements; assess Note 1.1 disclosure adequacy.
- Directors' responsibilities: prepare on the going-concern basis unless inappropriate; ISAs (UK) and FRC Ethical Standard independence apply; re-appointment of BDO LLP under s89 Bermuda Companies Act.

DIAMANTE APPLICATION

- This is the template Diamante is heading toward — an unmodified opinion with a separate going-concern section, not a qualification, provided the disclosure is adequate.
- Mirrors the KZL Inc. extract in the Going Concern research: same structure, same "opinion not modified" conclusion.

EXAM HOOKS

- The material-uncertainty section is NOT a qualification — say so explicitly.
- Note the audit-evidence hierarchy: signed commitment/backstop/lock-up agreements are what move a conditional refinancing toward acceptable.

Petra — Directors’ Comments & Industry Outlook

Chair’s statement · diamond-market conditions (16 Oct 2025)

The Chair’s real-world commentary on leadership change, the diamond-market downturn and the refinancing — direct benchmark context for Diamante’s environment.

KEY CONCEPTS & RULES

- Board/leadership: CEO resigned; interim Joint CEOs appointed but deliberately NOT to the Board during restructuring; new CFO from Oct 2024; Board cut from seven to four directors to reduce cost and improve agility.
- Diamond market: severe rough-price pressure in FY2024–2025 — high pipeline inventories, weak China demand, lab-grown competition, US tariffs on India (where most cutting/polishing occurs; US = 40–45% of natural-diamond demand); like-for-like prices down ~35% vs the FY2022 post-COVID high.
- Recovery signs: Tender 1 & 2 FY2026 averaged US$110/ct, 26.3% above the FY2025 US$87/ct; a medium-term structural supply deficit from fewer producing mines could support prices.
- Refinancing of the 2026 1L and 2L debt agreed in principle Aug 2025; FY2026 priorities = deliver production and cost targets and advance mine-extension projects on schedule and budget.

DIAMANTE APPLICATION

- Confirms the industry-wide nature of Diamante’s demand slump — the PESTEL/Porter’s “demand-side downturn, not industry structure” point, with real numbers.
- The value-recovery signal (US$87→US$110/ct) supports Diamante’s “ripe for recovery” view used in the Botswana and impairment-reversal analysis — but note it is management commentary.
- Governance parallel: reducing board size and running interim leadership during a restructuring is a real-world King IV balance-of-power example.

EXAM HOOKS

- Useful for the strategy/PESTEL trigger — cite real market data (35% price fall, US tariffs, China, LGD) rather than generic statements.
- Treat directors’ optimism with scepticism, exactly as required for Diamante’s going-concern narrative.

Petra — Events After the Reporting Period & Prior-Year Restatements

IAS 10 non-adjusting events · IAS 8 prior-period errors

Real-world IAS 10 and IAS 8 disclosures — a refinancing treated as a non-adjusting event and four restatements that mirror Diamante’s error risks.

KEY CONCEPTS & RULES

- IAS 10 (Note 35): the 8 Aug 2025 Refinancing — extend Senior Secured Bank Debt to Dec 2029, extend Notes to March 2030, US$25m rights issue at 16.5p underwritten by shareholders — is classified as a NON-ADJUSTING event after the reporting date.
- IAS 8 prior-year restatements (FY2024 and FY2023 restated): (1) intangibles reclassified out of PPE (US$4m) — no P&L effect; (2) the Parcel 1 receivable was a prior-period error from misapplying IFRS 9 (contractual right to cash not established) — receivable and income overstated US$12m; (3) diamond inventory wrongly included US$4m unrealised intercompany profit — restated to cost; (4) US$20m disputed tax claims wrongly recognised as an IAS 37 provision — reclassified to an IAS 12 tax liability.

DIAMANTE APPLICATION

- The IAS 10 non-adjusting treatment of a post-year-end refinancing is exactly Diamante’s situation — classification unchanged at year-end, but going concern assessed on the new information.
- The IAS 8 errors map onto Diamante’s risks: IFRS 9 receivable recognition (Botswana deferred consideration), unrealised intercompany profit in inventory, and IAS 37-vs-IAS 12 classification of disputed amounts.

EXAM HOOKS

- Distinguish a non-adjusting event (disclose) from a prior-period error (restate) — the two are tested together here.
- Note the IAS 37 provision vs IAS 12 tax-liability distinction — a classification trap Diamante shares.

Petra — Material Uncertainty Related to Going Concern (Note 1.1)

Real IAS 1 going-concern disclosure · covenant breach · sensitised case

The actual going-concern note behind the audit report — a model of the disclosure Diamante must make, including the sensitised worst-case and mitigating actions.

KEY CONCEPTS & RULES

- RCF covenant breaches at Dec 2024 and June 2025 (net debt:EBITDA and interest cover); Absa waived any default; net debt US$261m at 30 June 2025 (up US$60m).
- The refinancing plan is the critical GC milestone: US$25m rights issue backstopped by key shareholders, lock-up agreements, intention to restructure the RCF and 2L Notes (maturing Jan 2026 and March 2026).
- Sensitised (worst-case) scenario combines a 10% fall in diamond prices, a 10% fall in production, and a 5% FX change → projects a covenant breach without mitigation.
- Mitigating actions: PICE (pay-in-cash-or-equity) settlement of bond interest; monetise polished stones held in partnership; liquidate diamond inventory; defer sustaining and expansionary capex.
- Concludes a material uncertainty may cast significant doubt, but the Board has a reasonable expectation of remaining a going concern for ≥12 months → prepared on the going-concern basis; no adjustments if GC failed.
- Net investments in foreign operations judgement: permanent-as-equity intra-group loans → FCTR; repayable loans → P&L; functional currencies GBP/ZAR, presentation US$.

DIAMANTE APPLICATION

- A gold-standard template for Diamante's own IAS 1 note — it names the conditions, the sensitised case, the mitigations and the reasonable-expectation conclusion.
- The sensitised case (10% price / 10% production / 5% FX) is a ready-made structure for stress-testing Diamante's forecasts.
- The mitigating-actions list (defer capex, monetise/liquidate inventory, PICE interest) parallels the levers available to Diamante.

EXAM HOOKS

- Model the disclosure: conditions → sensitised case → mitigating actions → reasonable-expectation conclusion → "no adjustments if GC failed".
- The covenant-waiver point shows how a technical breach is handled — relevant if Diamante's ratios breach covenants.

Summaries of the Pre-release Research pack (14 team documents) plus 4 real Petra Diamonds disclosures. Diamante figures are illustrative from the draft pre-release. Colour key: blue = IFRS technical · amber = going concern · green = performance/KPIs · maroon = ethics · teal = strategy/operations · purple = controls/ESG · slate = Petra comparator.